will have the important consequence of creating a truly national market for goods and services, which will be critical for our growth in years to come.

Domestic demand has to be financed responsibly, as far as possible through domestic savings. Our banking system is undergoing some stress. Our banks have to learn from past mistakes in project evaluation and structuring as they finance the immense needs of the economy. They will also have to improve their efficiency as they compete with new players such as the recently licenced universal banks as well as the soon-to-be licensed payment banks and small finance banks. At the same time, we should not make their task harder by creating impediments in the process of turning around, or recovering, stressed assets. The RBI, the government, as well as the courts have considerable work to do here.

We also have to work on spreading financial services to the excluded, for once they learn how to manage finances and save they can be relied on to borrow responsibly. New institutions and new products to seek out financial savings in every corner of the country will also help halt the erosion in household savings rates, as will a low and stable inflation rate. The income tax benefits for an individual to save have been largely fixed in nominal terms till the recent budget, which means the real value of the benefits have eroded. Some budgetary incentives for household savings could help ensure that the country's investment is largely financed from domestic savings.

3. ENSURE TRANSPARENCY AND STABILITY OF THE ECONOMY

As I argued earlier in the speech, even developed countries like Portugal and Spain have been singularly unable to manage domestic demand. Countries tend to overstimulate, with large fiscal deficits, large current account deficits, high credit and asset price growth, only to see growth collapse as money gets tight. The few countries that